

American Express's sales. American Express Financial Advisors (formerly IDS Financial Services), a financial planning, insurance, and investment product division, contributed 22 percent of sales. The American Express Bank contributed a modest 5 percent of sales. The bank had long been the local representative for the American Express card with a network of 87 offices in 37 countries worldwide.

American Express Travel Related Services continues to be a predictable provider of profits. The division had always generated substantial owner earnings and easily funded the company's growth. But when a company generates more cash than it requires for operations, it often becomes a test of management to allocate this capital responsibly. Some managers pass this test by investing only that capital that is required and returning the balance to the company's owners either by increasing the dividend or by repurchasing shares. Other managers, unable to resist the institutional imperative, constantly find ways to spend cash and expand the corporate empire. Unfortunately, this was the fate of American Express for several years under the leadership of James Robinson.

Robinson's plan was to use TRS's excess cash to acquire related businesses and thus build American Express into a financial services powerhouse. IDS proved to be a profitable purchase. However, Robinson's purchase of Shearson-Lehman was disappointing. Not only was Shearson unable to fund itself, but it also required increasing amounts of TRS's excess cash for its own operation. Over time, Robinson invested \$4 billion in Shearson. It was this financial drain that prompted Robinson to contact Buffett. Berkshire purchased \$300 million in preferred shares. Although Buffett was willing to invest in American Express at that time via preferred shares, it was not until rationality finally surfaced at the company that he felt confident to become a common stock shareholder.

Tenet: Rationality

It is no secret that the company's crown jewel is the famed American Express Card. What seemed to be lacking at American Express was a management team that recognized and appreciated the economics of this business. Fortunately, this realization occurred in 1992, when Robinson unceremoniously resigned and Harvey Golub became chief executive.